

LoanServe — Vehicle Loan Terms and Conditions

Document reference TNC-VEH-016 · Effective 2025-04-01

Scope and Application

These terms govern every vehicle loan sanctioned by LoanServe for the purchase of a new or used passenger vehicle or two wheeler for personal use. A vehicle bought for commercial hire, for a fleet operator, or for conversion to commercial registration falls outside these terms. The terms apply from the date the loan is disbursed to the dealer or seller and continue until the hypothecation is removed. Where the vehicle is registered in a state other than the borrower's recorded address, an intimation of that registration must be filed within thirty days.

Loan Parameters

The minimum vehicle loan amount is Rs 1,00,000 and the maximum is Rs 25,00,000. Vehicle loan tenures of 12, 24, 36, 48, 60 and 84 months are offered. A processing fee of 0.75 percent of the sanctioned amount applies to vehicle loans.

Security and Insurance

LoanServe is recorded as the hypothecatee in the vehicle registration certificate. Comprehensive motor insurance is mandatory for the entire loan tenure.

Used Vehicles

For used vehicles the vehicle age at loan maturity must not exceed ten years.

Charges and Fees

A charge of Rs 750 applies for issue of a duplicate hypothecation letter to the regional transport office. A charge of Rs 1,200 applies for a no objection certificate required for transfer of the vehicle to another state. A field verification charge of Rs 900 applies to a used vehicle purchase and is payable before the valuation is commissioned. A swap charge of Rs 500 applies where the borrower changes the bank account from which the instalment is debited.

Vehicle and Registration

The registration certificate must record LoanServe as the hypothecatee before the loan is treated as fully secured. A copy of the registration certificate showing that endorsement must reach the servicing branch within forty five days of disbursement. The borrower must not sell, transfer or permanently modify the vehicle while the hypothecation stands. A vehicle used in any offence or seized by an authority must be reported to the servicing branch within seven days.

Repayment and Prepayment

The first instalment on a vehicle loan falls due one month after the amount is paid to the dealer or seller. The instalment is collected by automated debit against the mandate registered at sanction, and a failed debit is treated under the Late Payment and Default Charges. Closing a vehicle loan ahead of schedule follows the Prepayment and Foreclosure Policy. Where a borrower prepays after an insurance total loss settlement, any excess over the outstanding is refunded within fifteen working days.

Closure and Release of Security

On full repayment a hypothecation cancellation letter is issued to the borrower and to the regional transport office within ten working days. The borrower is responsible for having the hypothecation endorsement removed from the registration certificate. A no dues certificate is issued along with the cancellation letter. Where the loan is closed following a total loss claim, closure is completed only after the

insurer's settlement has been credited in full.

Definitions

'Hypothecatee' means the lender recorded against the vehicle in the registration certificate until the loan is repaid. 'Vehicle age at maturity' means the age of the vehicle on the date the last instalment falls due.

Exceptions and Discretion

The maximum tenure of 84 months is offered only on a new vehicle and only where the applicant's bureau score is 720 or above. A used vehicle older than seven years at the time of application is not financed. The requirement for field verification may be waived for an existing borrower with twenty four instalments paid without default. Any relaxation is recorded on the account file and does not bind LoanServe in any other case.

Records and Evidence

The invoice, the valuation report for a used vehicle and the endorsed registration certificate are retained for the life of the loan. The insurance policy copy for each year of the tenure is retained on the account file. Field verification photographs are retained for three years from disbursal.

Related Policies

The Vehicle Loan Terms and Conditions should be read with: Interest Rate Policy, Insurance Linkage Policy.

Regulatory and Compliance Notes

These terms follow the fair practices code applicable to retail vehicle finance and the directions on recovery conduct in force. Repossession, where it becomes necessary, is carried out only after written notice and only through an agent carrying identification issued by LoanServe. The borrower is given fifteen days after repossession to settle the account before the vehicle is put to sale.

Review and Governance

Issued by the Vehicle Loans desk and reviewed whenever the used vehicle valuation guide is updated.